

Instructions

- Answer all eight questions. Show sufficient working for method marks.
- A calculator may be used unless a question states otherwise.
- Write clearly in the spaces provided. Additional pages may be attached.

1

Assess the most significant cause of the event studied, justifying your ranking against one alternative.

[8 marks]

2

Using a demand and supply diagram, explain the effect of an indirect tax on equilibrium price and quantity.

[6 marks]

3

Evaluate the usefulness of the source for a historian studying this period, referring to origin and purpose.

[6 marks]

4

Define price elasticity of demand and explain why it matters to a firm setting prices.

[5 marks]

$$PED = \frac{\% \Delta Q_d}{\% \Delta P}$$

5

Explain two consequences of the policy studied, distinguishing short-run from long-run effects.

[6 marks]

6

To what extent was economic pressure the main driver of the change studied? Justify your judgement.

[8 marks]

7

Explain how opportunity cost applies to a government choosing between two spending programmes.

[5 marks]

8

Analyse why two historians reach different conclusions about the same event.

[6 marks]
